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By email (b.tovey@vantagefreight.co.uk) and by first-class post

The Directors
Vantage Freight Solutions Limited
Meridian House, 88 Eastgate
Leeds LS2 7AB

Our ref: SAW/WC-00115 18 August 2025

Dear Sirs

LETTER BEFORE ACTION
Logistics Services Agreement dated 12 January 2023 between Sutherland Logistics Limited and Vantage Freight Solutions Limited

We act for Sutherland Logistics Limited ("our client"). This letter is a letter before action sent in accordance with the Practice Direction on Pre-Action Conduct and Protocols. We invite you to read it carefully and to take legal advice.

The Agreement

By a written Logistics Services Agreement dated 12 January 2023 (the "Agreement"), our client agreed to provide your company with dedicated warehousing capacity and distribution services from its facility at Brunel Distribution Park, Daventry. The Agreement was for an initial fixed term of three years to 11 January 2026. Under clause 7.4 your company agreed to pay a guaranteed minimum monthly charge of £68,500, payable within 30 days of invoice under clause 7.1, whether or not the guaranteed volumes were tendered.

Your breaches

First, your company has failed to pay our client's invoices for February, March and April 2025, which total £487,250.00 and are now substantially overdue. Despite repeated requests for payment, no payment has been made and no proper basis for withholding payment has ever been advanced.

Secondly, by a letter dated 9 May 2025 your company purported to terminate the Agreement with immediate effect, asserting an entitlement to terminate "for convenience" on 30 days' notice. There is no such entitlement. The Agreement could not be terminated during the initial term save for unremedied material breach or insolvency (clause 13.1), neither of which applies. The purported termination was therefore a repudiatory breach, which our client accepted by its letter of 23 May 2025.

Our client's claim

Our client is entitled to (a) payment of the unpaid invoices of £487,250.00; (b) damages for wrongful termination, being its loss of the guaranteed minimum charge and associated margin for the unexpired balance of the term to 11 January 2026, presently quantified at £612,000.00 after credit for mitigation; and (c) interest under the Late Payment of Commercial Debts (Interest) Act 1998 and/or section 35A of the Senior Courts Act 1981. The total principal sum claimed is £1,099,250.00.

What we require

We require your company, within 21 days of the date of this letter, to: (1) pay the sum of £487,250.00 in respect of the unpaid invoices; (2) confirm its acceptance of liability for damages for wrongful termination; and (3) provide copies of any documents on which it relies in answer to this claim. If you intend to instruct solicitors, please provide their details so that we may correspond with them.

If we do not receive a satisfactory response within 21 days, our client reserves the right to issue proceedings without further notice and to rely on this letter on the question of costs. Our client also reserves all its rights, including the right to claim further sums and interest as they accrue.

We look forward to hearing from you.

Yours faithfully

Whitfield Carter LLP

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